The period from 1918–21 saw only twenty-one failures (total paid-up capital of ₹14 lakhs), and the boom which followed the First World War gave a fresh impetus to the starting of banks. A number of banks were established, some specially for financing industries, the chief of which was the Tata Industrial Bank (TIB). From 1922, the number of failures increased due to the Depression, and the number of bank failures during 1922–36 was 373. The most important failures were the Alliance Bank of Simla and the TIB in 1923, and the People's Bank of Northern India in 1932. The TIB merged into the Central Bank of India, details of which are discussed in Book I.

Exchange Banks

Apart from the banks established in India under charters of the East India Company and Acts of the Indian Legislature, a number of foreign banks with their head offices abroad carried on business in India through their branches. As the brightest jewel in the British crown, India was not likely to be ignored when joint-stock banks began to expand beyond the confines of Britain in the second quarter of the nineteenth century. The main business of these banks, called exchange banks, was the financing of India's foreign trade. They received deposits of all kinds and purchased bills in foreign currencies. They made loans against shipping and other documents and also financed a part of the inland trade. The most important of these were English banks established under Royal Charters. Until 1852, the Company succeeded in preventing the establishment of such banks (with the exception of the Oriental Banking Corporation) because it feared that the banks would prosper at its expense.

What had prevented the proliferation of such banks was the Company's interpretation of Act 47, passed during the reign of George III, which had given it the power to incorporate such banks. The Company maintained that the Act limited the royal prerogative to grant charters to them alone. Subsequently, legal experts in England decided that Act 47 of George III, empowered the Company to incorporate banks merely for transacting general banking business within its territories, and that it did not limit the royal prerogative to banks for carrying on the business of exchange and remittances. The Presidency Banks and the joint-stock banks did not